

JUDGMENT SHEET

IN THE LAHORE HIGH COURT,
MULTAN BENCH, MULTAN.
JUDICIAL DEPARTMENT

R.F.A. No.53 of 2014

Mst. Tasleem Fatima, etc. Vs. The Bank of Punjab, etc.

Judgment

DATE OF HEARING: 06.12.2016

APPELLANTS BY: Malik Sajjad Haider Maitla, Advocate

RESPONDENT No.1 BY: Mr. Muhammad Shakil Ch., Advocate.

MUZAMIL AKHTAR SHABIR, J. This appeal has been filed by the judgment debtors under Section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 (the Ordinance), against the judgment and decree dated 17.12.2013 passed by learned Judge, Banking Court No.II, Multan, whereby he had partially decreed the recovery suit filed by the respondent-Bank (the Bank).

2. The facts of the case are that the respondent-Bank filed a suit on 17.06.2010 under Section 9 of the Ordinance for recovery of Rs.27,01,715/- along with costs of fund and other amounts relating thereto against the appellants and respondent No.2. The respondent-Bank claimed that it had sanctioned loan of amount of Rs.30,00,000/- on 01.11.2006 and on the basis of mark-up as per Bank statement, an amount of Rs.27,01,715/-

was outstanding at the time of filing of suit. In response to notices issued under Section 9 of the Ordinance, the appellants No.1 and 2 filed application for Leave to Defend u/s 10 thereof on 08.03.2011 where after the respondent-Bank filed the reply. Respondent No.2/defendant No.3 was proceeded against ex-parte on 07.06.2011. The Banking Court vide its judgment dated 17.12.2013 dismissed the application for Leave to Defend and partially decreed the suit to the extent of Rs.13,85,052/- with costs and respondent-Bank was also held entitled to cost of funds from the date of default till realization.

3. Learned counsel for the appellants argued that since the loan was disbursed on 13.11.2006 and the Finance Agreement provides that mark-up could be charged for one year from the date of disbursement but the Bank had illegally charged mark-up beyond the expiry period. Furthermore, the counsel for the appellants referred to the Statement of Accounts attached with the plaint and argued that the Statement is not certified as per Bankers' Books Evidence Act, 1891 and, therefore, cannot be treated as evidence of account and that the court has wrongly dismissed the application for Leave to Defend by observing that it did not meet with the requirements of Section 10 of the Ordinance.

4. Conversely, the counsel for the respondentNo.1 strongly supported the impugned judgment & decree and argued that as

the application for Leave to Defend did not meet with the essential requirements of Section 10 of the Ordinance, therefore, it has rightly been dismissed. The Statement of Accounts bears certificate as per Bankers' Books Evidence Act, 1891 and that the mark-up beyond the expiry period has not been granted by the learned Banking Court and that the appellants had sought Leave to Defend on flimsy grounds, hence, same was rightly refused.

5. We have heard the arguments advanced by the learned counsel for the parties and have also perused the record.

6. As regards the ground that the Banking Court has wrongly dismissed the application for Leave to Defend for not having fulfilled the requirement of Section 10 subsection (3),(4) & (5) of the Ordinance, it is clear that an application for Leave to Defend has to be in the form of written statement, specifically stating the amount of finance availed and amount paid by appellant/defendant, the amounts disputed by the appellant/defendant which should be accompanied by relevant documents. In the application, the appellants have admitted disbursement of loan but did not agree with the calculation of outstanding amount of dues. The appellants claim that they had paid Rs.8,00,000/- to the Bank is without specifying any receipt/acknowledgement. Appellants further state that according to Bank statement, outstanding principal amount is

Rs.12,61,273/- and Bank has already received Rs.21,00,000/- in shape of mark-up but he has not attached any document in support of their claim and have referred to the Statement of Accounts provided by the Bank with its plaint which does not fortify his claim. The matter relates to the calculations only which has already been calculated by the Court. The appellants have not been able to deny any entry in the Statement of Accounts and have not produced any documents to rebut the same. Hence, the Application for Leave was rightly dismissed.

7. As regards the second objection by the appellants against the judgment and decree dated 17.12.2013 that the Statement of Accounts is not certified in accordance with Bankers' Books Evidence Act, 1891, the counsel for appellants argued that Statements of Finance and Mark-up Accounts do not bear any certificate as required by law. However, these statements are available in the record of the Banking Court, the first page of which bears a certificate, which is reproduced below:-

"Certificate

Certified on Oath that is a true copy of such entry/entries that such entry/entries of the Bank and was/were made in the usual and ordinary course of business and that each book is still in the custody of the Bank."

Besides at the end of both Statements of Finance and Mark-up Accounts, a certificate signed by a Bank Officer is available in the following terms:-

"It is certified that all the entries are according to Banks' record."

The counsel for the appellants has argued that such a certificate is not sufficient compliance of law and that a certificate should be given on each and every page but the counsel for the Bank has argued that certificate at the end of the statement is enough and need not to appear on each and every page.

To resolve this controversy, reference may be made to Sections 2(8) and 4 of the Bankers' Books Evidence Act, 1891.

Section 2(8) of the Bankers' Books Evidence Act, 1891 provides as under:-

Section 2 (8) 'Certified Copy

“Certified copy means a copy of any entry in the books of a bank together with a certificate written at the foot of such copy that it is true copy of such entry, that such entry is contained in one of the ordinary books of the bank and was made in the usual and ordinary course of business and that such book is still in the custody of the bank, such certificate being dated and subscribed by the principal accountant or manager of the bank with his name and official title.”

(emphasis supplied)

Section 4 of the Bankers' Books Evidence Act, 1891 provides as under:-

“Mode of proof of entries in Bankers' Books.— Subject to the provisions of this Act, a certified copy of any entry in a banker's book shall in all legal proceedings be received as *prima-facie* evidence of the existence of such entry, and shall be admitted as evidence of the matters, transactions and accounts therein recorded every case where, and to the same extent as the original entry itself is now by law admissible, but not further or otherwise.”

In our opinion certificates mentioned above provided at the foot/end of statements are sufficient compliance of the provisions of Bankers' Books Evidence Act, 1891 and, hence, admissible in evidence in view of Section. 2 (8) and 4 of the Act.

Besides even if these statements did not bear signatures, the same would still have been admissible in evidence as the aforementioned Statements of Accounts are Electronically computer generated statements and there was no need to put a certificate on such accounts as prescribed by Section 2 (8) of the Bankers' Books Evidence Act, 1891. For this purpose, Section 3 of the Electronic Transactions Ordinance, 2002 would be relevant, which is reproduced as under:-

Section 3 Legal recognition of electronic forms:

“No documents, record, information, communication or transaction shall be denied legal recognition, admissibility, effect, validity, proof or enforceability on the ground that it is in electronic form and has not been attested by any witness.”

Section 3 makes an unsigned document such as Statement of Accounts electronically generated admissible in evidence without signature.

Reference in this regard is made to **2013 CLD 88** (*HABIB METROPOLITAN BANK LTD versus Mian ABDUL JABBAR GIHLLIN and another*), wherein it has been held that Electronically generated documents would not require any signature by virtue of Electronic Transactions Ordinance, 2002.

This aspect of the matter has also been relied upon by another Bench of this Court in case titled as **2016 CLD 29** (*The BANK OF PUNJAB through Branch/Chief Manager versus Messrs KHAN UNIQUE DEVELOPERS PVT. LTD through Chief Executive Officer and 9 others*).

Section 12 of the Electronic Transactions Ordinance, 2002 may also be referred in this behalf.

Section 12 Certified copies

“Where any law requires or permits the production of certified copies of any records, such requirement or permission shall extent to printouts or other forms of display of electronic documents where, in addition to fulfillment or the requirements as may be specified in such law relating to certification, it is verified in the manner laid down by the appropriate authority”

Section 12 of the Ordinance also makes the Statement of Accounts attached with the file admissible in evidence.

We are of the opinion that in view of Electronic Transactions Ordinance, 2002, we feel no hesitation to agree with the opinion of the learned Banking Judge who passed the judgment. Moreover, the appellants’ counsel has not been able to point out any law point to the contrary. Hence, the Statements of Accounts are proper Statements of Accounts and have been rightly received on record.

8. As regards the charging of mark-up beyond expiry period, suffice it to say that the Banking Court calculated principal and mark-up till the expiry date. The relevant portion

in Para No.5 of calculation by the Banking Court is reproduced below:-

“As per agreement for finance (Mark-A), statement of finance account (Mark-A/1) and mark-up account (Mark-A/2), a sum of Rs.29,98,129/- as principal and Rs.2,38,923/- as mark-up recoverable till expiry date totaling Rs.32,37,052/- are out-standing against defendants, where after defendants deposited Rs.18,52,000/-, so, out-standing liability of defendants thus comes to Rs.13,85,052/-“

The learned counsel for the appellant has not been able to point out any discrepancy in the calculation made above. The portion of mark-up beyond expiry period has already been disallowed by the Banking Court and payments made beyond the expiry date have been adjusted.

9. We, therefore, hold that the application for Leave to Defend was rightly dismissed being not in conformity with Section 10 (3),(4) & (5) of the Ordinance, mark-up beyond period of expiry has not been charged and the Statement of Accounts attached with the plaint does not suffer from any infirmity and payments made by appellants after the expiry period have been adjusted in accounts by the Banking Court.

10. For what has been discussed above, this appeal being devoid of any force stands **dismissed**.

(ALI BAQAR NAJAFI) (MUZAMIL AKHTAR SHABIR)
JUDGE JUDGE